

HOSPIRA INFORMATION TECHNOLOGY STANDARD OPERATING PROCEDURE

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Approvals

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1.0 PURPOSE

This document describes the process for inventorying, evaluating and prioritizing IT initiatives which materialize during the year.

2.0 SCOPE

The scope of the Demand Management Process described in this document includes ad hoc Tier 2 and Tier 3 project requests. This is also referred to as Demand Management 7.0.

3.0 REFERENCES

Identifier	Title
None	

4.0 DEFINITIONS

Term	Definition
Demand Management	Process within Service Management that allows us to prioritize incoming ad hoc IT Projects
Tier 1	Projects less than a specified dollar threshold , meets technical criteria and support resources are available
Tier 2	Projects greater than a dollar threshold, meets technical criteria, development resources available, and business has funding
Tier 3	Projects greater than a dollar threshold, meets technical criteria, development resources available, and cross functional impact
eProject ©	Application-Service-Provider-hosted project management tool used to manage IT demand and resources
Project Request	Request for an IT project made by business to IT. Project Requests are logged in eProject ©
Demand Portfolio Score	A score derived from answering questions based on the value and risk of completing a project. The score enables Hospira IT to prioritize all ad hoc demand (Tier 2 and 3 only)
Resource Type	A resource type defines a person's function within the organization (i.e. DBA, PM, BSA, etc.)

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Term	Definition
ROM Estimate	Rough order of magnitude estimate. A high-level estimate established between the relationship manager and resource manager based on high-level requirements

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5.0 RESPONSIBILITIES

Role	Responsibility
Process Owner	• Overall strategic leader • Spokesperson for Demand Management for the entire organization • Communicates and promotes the process, initiates process improvements and sets goals • Drives, sponsors, and communicates new behaviors • Subject Matter Expert (SME) • Provides training guidance
Relationship Manager	• Maintains a general knowledge of overall IT Demand • Develops an intimate knowledge of business lines • Maintains clear understanding of Demand Management • Aids business lines in establishing business drivers and processes according to the Hospira IT Vision • Communicates with both the business functions and the executive leadership teams • Works with Resource and Governance teams • Takes project requests through the approval process for the business • Provides business lines with a point of contact to IT • Along with the Demand Coordinator, confirms that projects continue to align with prioritized Business Processes as conditions change, and that the costs and benefits originally anticipated for each project in the portfolio are still applicable
Demand Coordinator	• Reviews Demand Portfolio score for project requests • Manages communication between other IT roles • Ensures that new IT drivers and processes are established according to guidelines set forth by the Governance Process • Analyzes updated portfolio and technology drivers as part of the Demand Prioritization Framework. (Technology drivers refer to change in Database, change in technology or change in programming approach). • Identifies any new internal IT initiatives that may have to be undertaken as a result of the changes to the overall IT strategy as indicated in the framework • Along with the Relationship Manager, confirms that projects continue to align with prioritized Business

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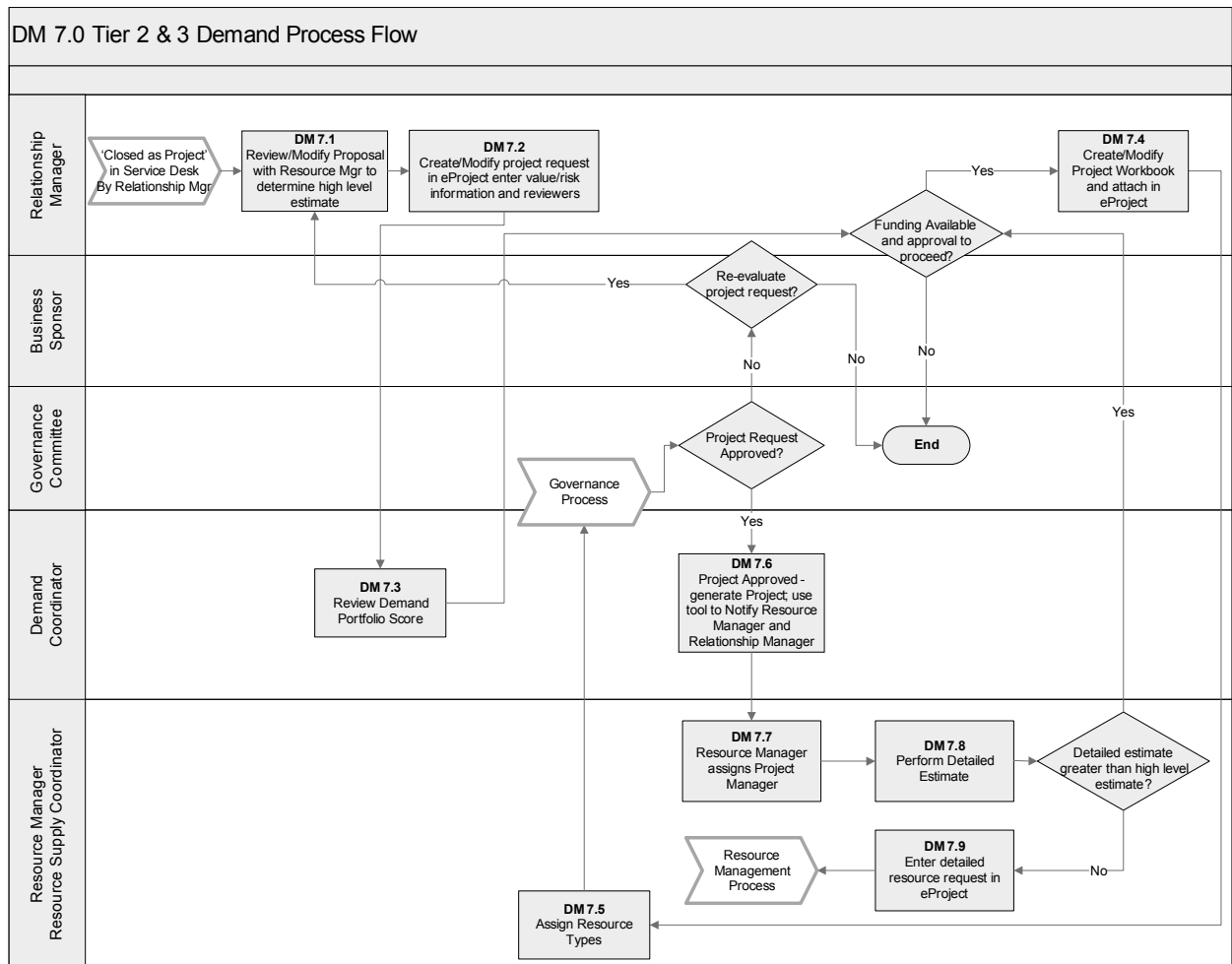
	Processes as conditions change, and that the costs and benefits originally anticipated for each project in the portfolio are still applicable
Resource Manager / Resource Supply Coordinator	• Receives resource requests from the demand management process • Reviews those resource requests and assigning named resources to those requests • Monitors their resources and assignments and making adjustments when appropriate • Escalates resource shortages that will cause project timelines or day to day support work to become compromised • Oversees and ensures adherence to the process, handles issue escalation, and identifies process deficiencies for resolution
Business Sponsor	• Aids Relationship Manager in defining answers to value/risk questions • Requests projects and provides insight and knowledgeable resources, from a business perspective, for those requests • Provides funding and business approval for project requests
Governance Committee	• Reviews and approves the IT project portfolio to ensure that all efforts and investments align with Hospira's IT and business strategies • Within the Governance Committee is the ITRC and their responsibilities are: - o Tracks projects in the portfolio as they progress through the IT Project Life Cycle - o Aids business lines, when necessary, to reprioritize initiatives - o Provides guidance and performs reporting
Hospira Information Technology	Implements this procedure
IT Compliance Management	Administers the maintenance of this procedure.

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6.0 PROCESS

6.1 AD HOC PROJECT/MODIFICATION REVIEW



6.1.1 Review Proposal with Resource Manager(s) to Determine Estimate (DM 7.1)

Review Proposal with Resource Manager to Determine Estimate is triggered when a Service Desk request is changed to “Closed as Project” by a Relationship Manager. The request has been evaluated and is greater than Tier 1 (Note that specific criteria for determining Tier can be found in the Governance documentation). The Support Team Member transfers the Service Desk Ticket to the Relationship Manager; the Relationship Manager updates the status of the ticket to “Closed”. NOTE:

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Until the new version of Service Desk is rolled out in 3rd quarter 2007, the Relationship Manager updates the status to "Resolved".

It is assumed that the Relationship Manager confirms the request is for a valid project. In other words, the Relationship Manager confirms that the request was logged by a business representative with project approval authority or a business representative with approval authority agrees with the request. The Relationship Manager works with the business to define the high-level requirements for the request. The Relationship Manager meets with the appropriate Resource Manager(s) to discuss the high-level requirements and determine a high-level / rough order of magnitude (ROM) estimate. If necessary, the Resource Manager consults with the appropriate members of the technical team or requests a meeting with members from the appropriate teams and the Relationship Manager to discuss the high-level requirements to determine impacted areas and to draft a high-level estimate. The Relationship Manager answers the Resource Manager and technical team's high-level requirement and questions regarding the business need that the project is to satisfy. The Relationship Manager contacts the business sponsor regarding any outstanding questions from the technical team. The estimation activities should include estimating all identified alternatives at a high level.

The ROM estimate is used by the Relationship Manager to obtain approval from the business sponsor for funding and to proceed and it is also used when seeking approval from the Governing Committee. The high-level is used for approval at these stages in order to reduce the amount of time spent upfront estimating projects that will not be pursued or approved. After the project request is approved by the Governing Committee, the detailed estimation will be performed.

The Relationship Manager may have to review the project again, and consult the Resource Manager and technical team as needed, if Governing Committee approval is not obtained.

With alternatives identified and a Rough Order of Magnitude (ROM) estimate, the Relationship Manager is ready to log the request.

6.1.2 Create Project Request (DM 7.2)

The Relationship Manager uses the information gathered from the business and the ROM to log the request.

eProject© is the tool that will be used to manage and monitor all Tier 2 and 3 project requests. Note: Tier 1 requests will be monitored in Service Desk.

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The eProject© Project Request includes general project information at the top of the form and value/risk questions in the lower portion of the form. Answers to the Value/Risk questions provide a weighted Demand Portfolio Score for the project's value to the company and risk associated with the project. These scores will be used by the Governing Committee and Demand Coordinator when evaluating requests. If the Relationship Manager is considering multiple alternatives, the questions should be answered, and therefore the Demand Portfolio Score should be computed, for the recommended alternative. The highest possible value is 5.00 and the lowest is 0.00. Positive value adds to the score and risk subtracts from it. For instructions on how to create a Project Request in eProject© and for further information regarding the Value/Risk questions and the Demand Portfolio Score, see the "eProject© User's Guide."

The reviewers for the project request should also be setup. This provides the ability to send email notification through eProject© during the project request lifecycle. The following types of reviewers should be designated (Note that when selecting reviewers for notification, you will select the reviewer's name, not their role in the project):

- Resource Manager
- Demand Coordinator
- Relationship Manager

Once the project request is created and the reviewers are designated, the Relationship Manager sends a notification message to the Demand Coordinator, via eProject©, that the project request and its Demand Portfolio Score are ready for review.

6.1.3 Review Demand Portfolio Score (DM 7.3)

The Demand Coordinator receives notification that a project request is ready for review and reviews the Demand Portfolio score for the project request to ensure that it is consistent with similar projects. The Demand Coordinator discusses any potential changes or questions with the Relationship Manager. The Demand Coordinator also has the ability to adjust the ranking with the use of the Demand Coordinator Adjustment Factor. The Relationship Manager communicates the final score to sponsor.

The Demand Coordinator sends a notification message to the Relationship Manager, via eProject©, indicating that the Demand Portfolio Score has been reviewed and approved and they should pursue funding.

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The Relationship Manager confirms funding plans with business sponsor and uses off-plan funding approval process to secure funding. Finance for IT provides direction on the funding approval process.

Funding may also need to be confirmed if the detailed estimate created after project request is approved is more than high level estimate.

Once funding and approval to proceed has been confirmed, the Relationship Manager can begin drafting the Project Approval Workbook.

6.1.4 Create/Modify Project Workbook (DM 7.4)

The Relationship Manager creates a Project Approval Workbook, with the following information:

- Fields on the Project Information Tab.
- Descriptions of Alternatives with ROM Estimates.

Estimates can be entered but are not required at this point. Since the Project Approval Workbook takes a bottom-up approach to calculate estimates, the Relationship Manager might not have the details to enter the estimates; however, estimates can be entered in the text/description fields if you would like to include the estimate but only have high-level information. Detailed estimation will be done at step "Perform Detailed Estimate". The Project Approval Workbook will be populated with estimates at that time.

The Relationship Manager attaches the Project Approval Workbook to the project request in eProject©

The Relationship Manager sends a notification message to the Resource Manager, via eProject©requesting the Resource Manager to assign resource type(s) to the project request.

6.1.5 Assign Resource Types (DM 7.5)

The Resource Manager receives notification that resource types need to be assigned to a project request and assigns the known project resource types to the project. The Resource Manager can enter the types of resources and zero hours if the amount of time needed for the resource is unknown.

At a minimum, if the Resource Manager is unsure of the resource types needed for the project, the Resource Manager should assign a Project Manager resource type to the

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project and include the effort needed to develop the detailed estimate. For more information, see the Resource Management process.

Once the known resource types are assigned to the project request, the Governing Committee evaluates the request against the governance criteria for approval. The evaluation criteria can be found in the Governance Process documentation.

The Governing Committee notifies the Demand Coordinator and the Relationship Manager of the results of the project request review.

If the project request wasn't approved, the Relationship Manager and the business sponsor discuss if the project request should be re-evaluated, changes made and re-routed through the Demand Management process.

6.1.6 Project Approved / Generate Project (DM 7.6)

When the Demand Coordinator receives notification that a project request was approved, he or she will generate the project from the project request. The "Project Request" becomes a "Project".

The Demand Coordinator sends a notification message to the Resource Manager and Relationship Manager, via eProject®, indicating that the project request is approved.

6.1.7 Assign Project Manager (DM 7.7)

Once the Resource Manager receives notification that the project has been generated for the approved project request, the Resource Manager assigns a Project Manager to the project in eProject® to create the detailed estimate for the project. The hours entered for the Project Manager are the hours that are needed to create the detailed estimate and project plan.

6.1.8 Perform Detailed Estimate (DM 7.8)

Once the Project Manager is assigned to the project, he or she meets with the appropriate members of the technical team and other groups that may be involved in the project to determine the detailed estimate. The team reviews the high-level requirements to determine the impacted components and the effort required to fulfill the requirements of the project. The Project Manager engages the affected end users and/or the Relationship Manager as needed to resolve any questions regarding the project requirements or process. The Project Manager completes the estimate for the chosen alternative in the Project Approval Workbook for the project. The Project

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Manager completes the detailed project plan for the chosen alternative and defines the resource requirements with appropriate timelines at this stage.

The detailed estimate is communicated to the Relationship Manager and the Resource Manager. The Resource Manager attaches the Project Approval Workbook to the Project within eProject®.

The Resource Manager compares the detailed estimate to the high-level estimate. If the total of the detailed estimate is greater than the high-level estimate that was agreed to by the Business Sponsor, then the Resource Manager contacts the Relationship Manager to review the revised estimate with the Business Sponsor. If the total of the detailed estimate is the same or less than the high-level estimate, the project continues.

Once the detailed estimate has been created, the Project Manager will follow the ITRC process for formal funding approval.

6.1.9 Enter Detailed Resource Request (DM 7.9)

After formal funding approval is obtained, and the detailed project plan is completed, if the total effort is the same or less than the Rough Order of Magnitude estimate, the Resource Manager and the Project Manager review the resource requirements and the timeframe requirements associated for each resource type in the project plan.

Based on the detailed estimate, the Resource Manager enters the detailed resource requests with hours within eProject® including the type of resource(s) needed and the planned effort by month or week for each resource type. The Resource Manager requests resources from team leads as appropriate per the project plan defined by the project manager with the provided timeframes. Resource requests are fulfilled according to Resource Management process. See Resource Management process for more details.

When it is determined that the project request will not be approved and the business sponsor doesn't want to re-evaluate the request, the Relationship Manager informs the Business Sponsor that the project will not be pursued and the project request will be closed in eProject®. The Governance Committee performs Project Request and Project closure and cancellation activities.

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7.0 ATTACHMENTS

None

8.0 REASON FOR CHANGE

Description of change

Section	Change Description/Purpose
New document	